

preferred at 110 (equivalent to 66 for the common), the “index of closeness” becomes $54 \div 66$, or 0.82.

COMPARATIVE MERITS OF THE THREE TYPES OF PRIVILEGES

From the theoretical standpoint, a participating feature—unlimited in time and possible amount—is the most desirable type of profit-sharing privilege. This arrangement enables the investor to derive the specific benefit of participation in profits (*viz.*, increased income) without modifying his original position as a senior-security holder. These benefits may be received over a long period of years. By contrast, a conversion privilege can result in higher income only through actual exchange into the stock and consequent surrender of the senior position. Its real advantage consists, therefore, only of the opportunity to make a profit through the sale of the convertible issue at the right time. Similarly the benefits from a subscription privilege may conservatively be realized only through sale of the warrants (or by the subscription to and prompt sale of the stock). If the common stock is purchased and held for permanent income, the operation involves the risking of additional money on a basis entirely different from the original purchase of the senior issue.

Example of Advantage of Unlimited Participation Privilege. An excellent practical example of the theoretical advantages attaching to a well-entrenched participating security is afforded by Westinghouse Electric and Manufacturing Company Preferred. This issue is entitled to cumulative prior dividends of \$3.50 per annum (7% on \$50 par) and in addition participates equally per share with the common in any dividends paid on the latter in excess of \$3.50. As far back as 1917 Westinghouse Preferred could have been bought at 52½, representing an attractive straight investment with additional possibilities through its participating feature. In the ensuing 15 years to 1932 a total of about \$7 per share was disbursed in extra dividends above the basic 7%. In the meantime an opportunity arose to sell out at a large profit (the high price being 284 in 1929), which corresponded to the enhancement possibilities of a convertible or subscription-warrant issue. If the stock was not sold, the profit was naturally lost in the ensuing market decline. But the investor’s original position remained unimpaired, for at the low point of 1932 the issue